COURSE

Cambridge IGCSE Business (0450 / 0264)

Pricing

3 Marketing · 3.3 Marketing mix: price

Revision for 3 Marketing: each firm works it out on its own deals.

Class **Cambridge IGCSE Business (0450 / 0264)** Topic **Pricing**

THE LESSON

Setup 3 min

Round 1 Decisions 3 min · Deals 5 min · Topic tasks 4 min

Firm decisions	**Deals**	TASK 1 **Margin of the price**	TASK 2 **Penetration risks**

Round 2 Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min

Firm decisions	**Deals**	TASK 3 **Rank by margin**	TASK 4 **Price to hit margin**	**B2B deal**

Round 3 Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min

Firm decisions	**Deals**	TASK 5 **High or low launch**	TASK 6 **Discounted profit**	**B2B deal**

Final questions 3 min

Fits a 30-minute lesson setting; longer settings add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments FROM ROUND 2	Buy property or funds. The value can rise or fall.
Operations	**Seasonal stock**	Order the season's cars in advance.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

What do you keep?

Margin, as % of the price?

WORK OUT THE NUMBER · EXAMPLE FIGURES

You pay per car	**£10,200**
Customer pays per car	**£12,000**

METHOD

Margin % = (customer pays – you pay) ÷ customer pays × 100

(£12,000 – £10,200) ÷ £12,000 = 15%

Why: You keep 15p of every £1 the customer pays.

Task 2

ROUND 1

You set a low price on a new model to win buyers fast.

Which two are the main risks?

PICK TWO

- ○ A higher profit per car
- ✔ **A low margin on each car**
- ✔ **Buyers may leave when it rises**
- ○ Fewer buyers at the start
- ○ Rivals can never match it

Why: A low price earns little per car, and buyers drawn by price may not stay.

Task 3

ROUND 2

Three cars: what you pay for each, and its price.

Order by margin %, highest first?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **Pay £7,000, price £10,000**
2. **Pay £9,000, price £12,000**
3. **Pay £14,000, price £17,500**

Why: Margins 30%, 25%, 20%: the biggest profit in pounds has the lowest margin.

Task 4

ROUND 2

Price to hit your target.

Price with the 25% margin?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

You pay per car	**£7,200**
Prep per car	**£300**
Target margin on the price	**25%**

METHOD

Price = (you pay + prep) ÷ (100% – target margin)

(£7,200 + £300) ÷ 75% = £10,000

Why: A 25% margin is a 33% mark-up on cost.

Task 5

ROUND 3

You get a rare new model that no rival in town sells.

Which launch price should you set, and why?

PICK A OR B AND GIVE A REASON

- ✔ **A high price at launch**
- ○ A low price at launch

Why: No rival and a rare model: buyers will pay more at first, so skim.

Task 6

ROUND 3

They want a discount.

Profit on the 3 cars?

WORK OUT THE NUMBER · EXAMPLE FIGURES

List price per car	**£17,000**
Fleet discount	**10%**
You pay per car	**£12,000**

METHOD

Profit = cars × (list price – discount – you pay)

3 × (£17,000 – 10% – £12,000) = £9,900

Why: The 10% discount costs £5,100 of profit on the deal.

Final questions

6
questions for each pupil

159
Level 2 Business questions

7
of them on pricing

The game draws 6 of the 159 Level 2 questions; these 7 are about pricing.

1 A rival makes a large price cut. What is the strongest first response?
Weigh costs and customer needs before acting.

2 A new car-care app enters a competitive market with a low introductory subscription price to attract users quickly. Which pricing method is this?
Penetration pricing.

3 A firm launches a unique diagnostic device at a high price before rivals offer an equivalent. Which pricing method is this?
Price skimming.

4 A tyre retailer sets prices after comparing several nearby rivals selling the same brands. Which method is most evident?
Competitive pricing.

5 What does cost-plus pricing involve?
Adding a mark-up to the cost.

6 A close rival adds a two-year warranty. What should a dealer do before responding?
Research whether customers value it, and costs.

7 The Sales lead considers lowering a price. Which evidence should be used together?
Demand, rivals' prices, unit costs and the desired position.